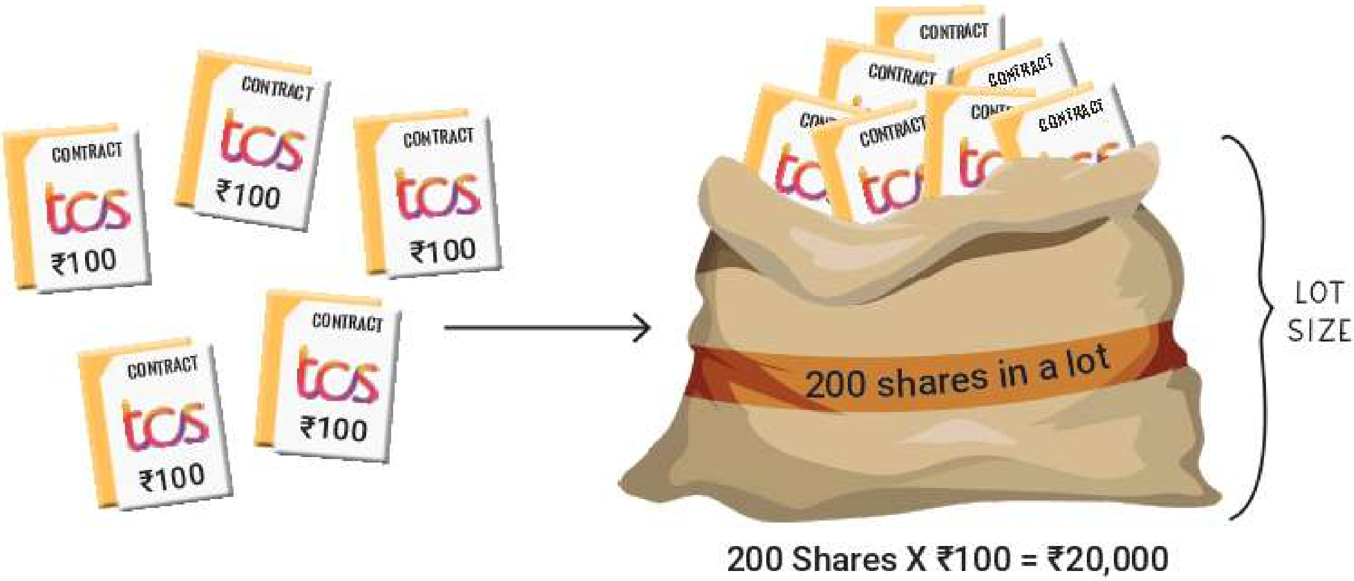
LOT SIZE

When buying Futures or Options, you cannot buy a single share or a few of them. You need to buy them in lots. Each lot will represent a certain number of shares. The number of shares that each lot represents is called Lot size. Transaction can only be executed in lots i.e. multiple of lot sizes. You can not have futures on 1 share of TCS. You will have to buy one lot at least where each lot is say, 200 shares.



ARBITRAGE OPPORTUNITY

An arbitrage opportunity is essentially the discrepancies in price that arise in the market for an asset. Lets say that there is a huge difference between price of an asset and its futures contract. Now, we know that on maturity, both these prices merge. So, we might buy shares and sell futures to benefit from the difference. Such opportunities where trader intends to benefit from such market inefficiencies are called Arbitrage opportunities. They can arise in different forms and different traders use different strategies to benefit from these.